

Term Sheet for Airplane Loan

Borrower: Barbie [Last Name]

Lender: [Bank Name]

Purpose: Financing of new airplane for personal and business use.

Loan Amount:

\$9,000,000

Interest Rate:

Fixed rate at 7 Year US Treasury rate + 1.50%. The rate will be locked in at the time of closing.

Amortization:

30 years

Loan Term:

7 years (with the possibility to refinance or pay in full at the end of the term).

Application Fee:

1% of the loan amount, payable upon submission of the loan application. This fee is non-refundable and covers the cost of processing the loan application.

Prepayment Penalty:

Efficient step-down prepayment penalty structure as follows:

- In year 1: 5% of the original loan amount
- In year 2: 4% of the original loan amount
- In year 3: 3% of the original loan amount
- In year 4: 2% of the original loan amount
- In year 5: 1% of the original loan amount

Thereafter, no prepayment penalty will be applied.

Collateral:

The loan will be secured by the airplane being financed, in addition to any other collateral deemed necessary by the lender.

Covenants:

The borrower must comply with specific covenants, including but not limited to:

- Maintaining comprehensive insurance on the airplane.
- Providing annual financial statements to the lender.
- Any additional covenants will be outlined in the final loan agreement.

Closing Conditions:

The loan will be subject to standard closing conditions, including satisfactory completion of an appraisal of the airplane, clear title, and completion of all required legal documentation.

Governing Law:

This term sheet and the loan it contemplates will be governed by the laws of the state in which the lender is headquartered.

Acceptance:

This term sheet is not a binding offer of credit but is intended to outline the general terms under which financing can be provided. Final terms are subject to due diligence, credit approval, and execution of definitive loan documentation.

Validity:

This term sheet is valid for 30 days from the date of issuance.

Issued to:

Barbie

By:

Ken, Specialist Lender

ABC Private bank

Feb 1, 2024

Please review these terms carefully and feel free to reach out to me with any questions or for further clarification. We look forward to assisting you with your financing needs and supporting your endeavors.

Best regards,

Ken